



Amazon - Globalstar

MN-50025

Phase 1 Determination

Acquisition may be put into effect

21 July 2026

1. Determination and statement of reasons

Notified acquisition	Amazon.com, Inc. (Amazon), via its wholly-owned subsidiary, Grapefruit Acquisition Sub II, LLC, proposes to acquire Globalstar, Inc (Globalstar), its subsidiaries, assets and facilities (the Acquisition).
Determination	The Australian Competition and Consumer Commission has determined under section 51ABZE(1) of the <i>Competition and Consumer Act 2010</i> (Cth) that the Acquisition may be put into effect.
Parties to the Acquisition	The acquirer, Amazon, supplies retail services, media content, electronic devices and on-demand technology services (including cloud computing). Amazon also operates Amazon Leo, which will supply high-capacity broadband/fixed satellite service (FSS) to government agencies, business and consumers using low Earth orbit satellites. Amazon Leo plans to launch its commercial service in mid-2026. In Australia, Amazon Leo has an agreement with NBN Co to deliver fixed-satellite broadband services to customers in regional, remote and rural Australia. The target, Globalstar, supplies global narrowband/mobile satellite service (MSS) connectivity services for voice and data communications applications. Globalstar provides these services to government agencies, businesses and consumers using allocated MSS spectrum, including in Australia. Globalstar currently provides Apple, Inc. with direct-to-device (D2D) satellite connectivity services on certain iPhone and Apple Watch models, allowing users to send and receive messages while outside of cellular and Wi-Fi coverage (e.g. Australian users can currently use this capability for emergency messaging, to request roadside assistance, and to share their location). Amazon has signed an agreement to continue providing Apple, Inc. with D2D services post-acquisition.
Overlap between the parties	Amazon and Globalstar (together, the Parties) both provide, or will soon provide, satellite services. However, they hold spectrum authorisations in different frequency bands and their offerings appear to serve different use cases. In particular, Amazon Leo's system will use FSS spectrum to provide high-capacity connectivity services to specialised fixed terminals, while Globalstar uses MSS spectrum to deliver low-capacity connectivity services directly to individual consumer mobile handsets or devices. The ACCC has not identified any non-horizontal relationships between the Parties.
Reasons for determination	When making a determination in Phase 1, the Australian Competition and Consumer Commission (ACCC) undertakes a competition assessment and considers whether it is appropriate for an acquisition to be approved or subject to further assessment in Phase 2 in accordance with section 51ABZJ of the <i>Competition and Consumer Act 2010</i> (Cth) (the Act). In doing so, the ACCC must have regard to the object of the Act and all relevant matters, including the interests of consumers. For more information about the ACCC's approach to considering

	notified acquisitions, see the ACCC's merger assessment guidelines and interim merger process guidelines. In conducting its competition assessment, the ACCC has considered the information and documents that were submitted with the notification form and information from third parties. The ACCC has determined that the Acquisition may be put into effect as it considers that the Acquisition is unlikely to have the effect of substantially lessening competition in any market. In reaching its decision, and based on the material before it, the ACCC makes the following findings. • The Parties do not compete closely in the supply of satellite services in Australia, as they hold spectrum authorisations in different frequency bands and their offerings serve different use cases. • Post-Acquisition, the merged entity would continue to face competition from several alternative suppliers of FSS and MSS services, including other entities (such as SpaceX's Starlink) which supply both services.
Applications for review	A notifying party, or other person who has been allowed to do so by the Australian Competition Tribunal, may apply for review if they are dissatisfied with the determination. Pursuant to section 100C of the Act, applications for review of the determination are to be made to the Australian Competition Tribunal before the end of 14 calendar days after this statement of reasons was included on the ACCC's Acquisitions Register. To confirm whether there has been any application for review, please contact the Australian Competition Tribunal.

Determination made by a division of the Commission constituted by a direction issued pursuant to section 19 of the Act